

THE SESSION • POST-CLOSE READ

A Narrow Advance

The S&P 500 added 0.11% on a triple-witching Friday even as most of its members declined, with the 10-year Treasury yield back at about 5%. Chip equipment led the index; digital-asset names, with bitcoin back above \$80,000, led the Growth Portfolio past IUSG. The Dividend Strategy trailed both marks.

S&P 500 ▲ 0.11%

NASDAQ ▲ 0.35%

DOW ▼ 0.18%

VIX 14.9

BRENT ▼ \$104

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.95%

1-DAY

FCI		-0.95%
DVY		-0.90%
SPY		-0.14%

YTD +17.79% vs DVY +14.81% · SPY +12.27%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.05%

1-DAY

FCI		+1.05%
IUSG		+0.53%

YTD +22.66% vs IUSG +14.20%

THE SESSION

The index finished higher on a day when most of its members did not. The S&P 500 added 0.11% to 7,646 and the Nasdaq 0.35%, while the Dow slipped 0.18%, or 95 points; Bloomberg counted more than 350 S&P 500 companies lower during the session. For the week the S&P 500 finished slightly lower and the Dow down more than 1.5%. The weight came from the bond market again. The 10-year Treasury yield, about 4.95% on Thursday, rose roughly five basis points back to about 5.00% after Kansas City Fed President Jeff Schmid said more increases may be warranted and traders added to bets on an October move; overnight the Bank of Japan lifted its policy rate to 1.25%. August industrial production was unchanged against the 0.3% gain expected, but one soft factory report does not move a Fed that is watching inflation. Brent fell for a third session, settling near \$103.87, and the VIX eased to 14.9. It was also the quarterly expiration of index futures and options, which adds volume and noise to a close and very little information. What lifted the index was narrow — semiconductor equipment and the largest technology names. Away from the tape, Warren Buffett, 96, stepped down as Berkshire Hathaway's chairman after six decades: a useful picture of what a long holding period looks like.

For the Dividend Strategy, -0.95% was very nearly the benchmark's day: DVY fell 0.90%, leaving the sleeve 0.05 points behind, and SPY's price slipped 0.14%, a 0.81-point gap. One footnote: SPY traded ex-dividend today on a \$1.8888 distribution, worth about 0.25%, so its price change understates the index; against the S&P 500 itself the gap is closer to 1.06 points. The verdict is the same either way, and so is the explanation. Twenty of the sleeve's twenty-five holdings declined, in a market where most stocks fell and the rate-sensitive ones fell most: Constellation -3.08%, Nutrien -2.27%, Genuine Parts -2.15%, Stryker -1.83%, Old Republic -1.35%, NatWest -1.32%, PACCAR -1.11%, Atmos -1.07%, and NextEra -1.00%. Two holdings had reasons of their own: Qualcomm fell 5.82% on no company announcement, returning part of a month-long advance, and Steel Dynamics fell 4.11% after guiding third-quarter earnings below consensus. Against that, the chip participation that passed the sleeve by on Thursday arrived a day late — Lam Research +6.98% as equipment makers led the group, Analog Devices +3.60% — and Caterpillar added 1.30%. Across the three sessions since the Fed's decision the sleeve is -0.97% against DVY's -1.50%: it fell less on the day of the hike and has kept most of that difference.

An index is an average, and an average can rise while most of what it holds declines. Owners hold businesses, not averages — and no business was changed by an expiration Friday.

The Growth Portfolio gained 1.05% against IUSG's 0.53%, a 0.52-point lead, and the source had nothing to do with rates. Bitcoin rose about 6% to reclaim \$80,000 after the Commodity Futures Trading Commission sent a crypto market-structure proposal to the White House for review — the second regulator in two days, after Thursday's SEC order on tokenized stocks, to act under existing authority since the CLARITY Act stalled in the Senate. MARA rose 13.75%, Robinhood 9.12%, and Hut 8 8.52%, and the digital-asset ETFs gained with them, IBIT +6.28% and ETHA +7.85%. The chip holdings extended their run more quietly: Credo +4.54%, AMD +2.70%, Marvell +1.45%, Nvidia

+1.34%, Keysight +1.08%, and TSM +0.93%. Sixteen of the twenty-five holdings advanced. The decliners followed the day's two pressures: higher yields weighed on Vistra, -2.01%, and Toll Brothers, -0.87%; lower crude on CNX, -1.79%, and Chevron, -1.03%. Software again sat out a chip-led session — ServiceNow -2.42%, and Fortinet -1.59% after Bernstein downgraded peer Palo Alto Networks on valuation. Across the three sessions since the decision the sleeve is +2.43% against IUSG's +1.91%. On the year, the Dividend Strategy stands at +17.79% against DVY's +14.81%, a +2.98-point spread, and the Growth Portfolio at +22.66% against IUSG's +14.20%, a +8.46-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

MARA +13.75%

GROWTH

No company-specific announcement. Bitcoin rose about 6% to reclaim \$80,000 as the CFTC sent a crypto market-structure proposal to the White House for review; miners moved with the asset. Closed at \$13.24.

HOOD +9.12%

GROWTH

Second straight gain on regulation: Thursday's SEC order opened a five-year conditional path for tokenized U.S. stocks, and Friday's CFTC filing extended the theme. Closed at \$119.82.

HUT +8.52%

GROWTH

No company-specific announcement; rose with bitcoin and the miners. Opened at \$93.34 and closed near the session high at \$98.74.

DECLINERS

QCOM -5.82%

DIVIDEND

No company announcement. Returned part of a month-long advance on a day the chip group rose; handset-exposed peers Skyworks and Qorvo also slipped, and Investing.com pointed to Samsung's wider use of its own Exynos processors. Closed at \$177.72.

STLD -4.11%

DIVIDEND

Guided third-quarter earnings to \$5.34-\$5.38 per share, below the roughly \$5.60 consensus though well above the second quarter's \$3.69; Nucor also guided below estimates. Closed at \$235.26.

LRCX +6.98%

DIVIDEND

No company release. Chip-equipment makers led the semiconductor group, with Applied Materials and KLA also higher, after the group was sold into September. Flat on Thursday; closed near the session high at \$288.11.

CRDO +4.54%

GROWTH

Third straight gain with the AI-connectivity group; no company-specific announcement. Closed near the session high at \$175.89.

CEG -3.08%

DIVIDEND

No company-specific announcement; power producers and utilities declined as the 10-year yield returned to about 5% (Vistra -2.01%, Atmos -1.07%, NextEra -1.00%), giving back more than Thursday's 1.26% gain.

NOW -2.42%

GROWTH

No company-specific announcement; software again sat out a chip-led session. Opened at \$139.71 and closed at \$135.12, near the session low.

NTR -2.27%

DIVIDEND

No company-specific announcement; opened near the session high and closed at \$77.13, giving back more than Thursday's 1.62% gain.

HOLDINGS NEWS

Steel Dynamics guides the third quarter below consensus.

After Thursday's close Steel Dynamics guided third-quarter earnings to \$5.34–\$5.38 per diluted share, against a consensus near \$5.60. The market compared the figure with the estimate; the company compared it with its own history — \$3.69 in the second quarter and \$2.74 a year ago. Management expects steel-operations profitability to be significantly higher than the second quarter's on metal-margin expansion and what it describes as record shipments, with selling values rising as scrap costs fall and customer inventories low. It repurchased \$261 million of stock during the quarter and reports full results on October 19. Nucor guided below estimates the same evening, so the reset was to the industry's forecasts rather than to one company. The shares fell 4.11% to \$235.26, returning Thursday's 2.99% gain and a little more. A quarter on pace to nearly double last year's is not a deteriorating business; it is a strong number that arrived beneath a stronger estimate.

A second regulator moves on digital assets. The Commodity Futures Trading Commission on Friday submitted a proposal titled "Regulation Crypto Asset Transactions and Regulation Crypto Asset Markets" to the White House Office of Management and Budget, following Chair Michael Selig's pledge to use the agency's existing authority rather than wait for Congress. It came one day after the SEC's five-year conditional exemption for tokenized stocks and three days after the CLARITY Act failed to advance in the Senate. Bitcoin rose about 6% to reclaim \$80,000; IBIT gained 6.28%, ETHA 7.85%, and the Growth Portfolio's related holdings more — MARA 13.75%, Robinhood 9.12% to \$119.82, Hut 8 8.52%. Two cautions belong beside those figures. A proposal under review is not a rule: its text is not public and its timetable is unknown. And the link between the filing and the day's prices is an inference, not a finding. What the week did establish is that the framework for this asset class is being built with or without new legislation — the condition the sleeve's exposure rests on, not any one Friday's prices.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.79%

vs DVY +14.81% / SPY +12.27%

Spread vs DVY **+2.98 pts**

GROWTH PORTFOLIO

+22.66%

vs IUSG +14.20%

Spread vs IUSG **+8.46 pts**